22STCV06275 22STCV06275

County: los-angeles

Division: Civil Law and Motion

Department: 309

Hearing date: 2026-07-23

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C309%2C07%2F23%2F2026

Source SHA-256: 3aa44915b4d496bebfc8134f7b9f782b10b4ca5cdb6c25d395722d770e7a3acc

Case Number: 22STCV06275 Hearing Date: July 23, 2026 Dept: 309

Superior
Court of California

County of Los Angeles

DEPARTMENT
17

TENTATIVE RULING

RASTEGAR
& MATERN

vs.

MATERN
LAW GROUP, PC

Case No.: 22STCV06275

Hearing
Date: July 23, 2026

Defendant's
motion for leave to amend to file an XC is GRANTED.

On 2/18/2022, Plaintiff Rastegar & Matern
filed a suit against Matern Law Group, PE and Matthew J. Matern (collectively,

Defendants). On 5/9/2025, Plaintiff filed a first amended complaint (FAC) alleging: (1) breach of fiduciary duty; (2) breach of contract; (3) intentional interference with prospective economic relations; and (4) negligent interference with economic relations.

On 4/17/2026,
Defendants Matthew J. Matern and Matern Law Group, PC (collectively, Defendants) moved an order granting leave to file a Cross-Complaint (XC).

Discussion

Defendants
contend that good cause exists to grant leave to amend to file an XC on the grounds that:

Defendants'
cross-claims for Declaratory Relief, Quantum Meruit, and Accounting all relate directly to the allocation of the Fee Award between R&M, on the one hand, and Mr. Matern and MLG, on the other hand. The cross-complaint also includes cross-claims for breach of fiduciary duty, aiding and abetting, and fraud which arise from the same series of transactions that led to the dispute between the parties in the first instance.

(Motion,
9: 7.)

Moreover,
Defendants argue that:

Critically,
the Cross-Complaint is necessary for complete adjudication of this controversy. Plaintiff's FAC seeks to establish that Defendants breached fiduciary duties and thereby forfeited any entitlement to the Fee Award. However, the FAC provides no mechanism for determining the parties' respective rights to the Fee Award if Plaintiff fails to prove Defendants' breached a duty. If, as they should, the jury concludes that Defendants did not breach a contract or fiduciary duty to R&M, then the jury will not be permitted to allocate the Fee Award between the parties. Yet all parties desire a final resolution of this dispute.

This issue is
critical because Defendants do not contend that R&M has no entitlement to the Fee Award. Rather, Defendants acknowledge that R&M is entitled to a portion of the Fee Award under governing legal and equitable principles. The parties' actual dispute concerns the proper allocation of the Fee Award between R&M and MLG based upon their respective contributions to the ABM Industries Overtime Cases and the parties' respective conduct affecting their entitlement to that award.

(Motion,
9: 8-20.)

The sole
basis on which a court may deny leave to file a compulsory cross-complaint is a finding of bad faith. (CCP § 426.50; Silver Organizations Ltd. V. Frank (1990) 217 Cal.App.3d 94, 99.)

Defendants
argue no finding of bad faith because "[t]he procedural history of this case fully justifies Defendants' diligence and good faith." (Motion, 10: 17.)

Following the
filing of the Complaint in this action 2022, this case was stayed for over two years while the Defendants' Anti-SLAPP appeal was pending. Upon lifting the stay, the parties engaged in pleading-motion practice when Plaintiff filed the FAC and Defendants demurred. Rather than immediately filing a cross-complaint, and while the demurrer was pending and before Defendants answered, Defendants first attempted to have all disputes concerning the Fee Award resolved in the San Francisco proceeding where the Fee Award originated. On 11/3/2025, Defendants filed a motion seeking relief from the San Francisco Superior Court that would have permitted all issues concerning entitlement to and allocation of the Fee Award to be adjudicated together. That motion was denied on 11/26/2025, and Defendants filed a Notice of Appeal on 1/22/2026.

As such,
Defendants contend that their efforts were motivated by judicial economy, not delay. Moreover, Defendants contend that there will be no prejudice if leave is granted because "Plaintiff has been aware of the fee dispute, Defendants' contentions regarding the parties' relative contributions to the ABM Industries Overtime Cases, and the parallel litigation in San Francisco County for over

six months. The Cross-Complaint introduces no new facts, but instead presents the other side of the same coin Plaintiff places at issue when it filed the Complaint.” (Motion, 13: 8-12.)

The policy favoring leave to amend is so strong that it is an abuse of discretion to deny an amendment unless the adverse party can show meaningful prejudice. (Atkinson v. Elk Corp. (2003) 109 Cal.App.4th 739, 761.)

Here, the Court finds inadequate evidence of meaningful prejudice if leave to amend is granted.

Based on the foregoing, Defendant’s motion for leave to amend to file an XC is granted.

It is so ordered.

Dated: July
, 2026

Hon. Jon R.
Takasugi

Judge of the
Superior Court

Parties who intend to submit on this tentative must send an email to the court at by 4 p.m. the day prior as directed by the instructions provided on the court website at www.lacourt.org. If a party submits on the tentative, the party’s email must include the case number and must identify the party submitting on the tentative. If all parties to a motion submit, the court will adopt this tentative as the final order. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. For more information, please contact the court clerk at (213) 633-0517.